

ADDIS PAY FINACIAL TECHNOLOGY SHARE COMPANY
AUDIT REPORT AND FINANCIAL STATEMENTS
FOR THE QUARTER ENDED 30 JUNE 2024

TIBEBE MENGISTU CERTIFIED AUDIT FIRM
CHARTERED CERTIFIED ACCOUNTANTS (UK)
AUTHORIZED AUDITORS (ETH.)
ADDIS ABABA
ETHIOPIA

**INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ADDIS PAY
FINANCIAL TECHNOLOGY SHARE COMPANY**

We have audited the accompanying financial statements of Addis Pay Financial Technology Share Company which comprise the Balance Sheet as of 30 June 2024, and Income Statement, statement of Change in Equity and Statement of Cash Flow for the period then ended and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the accounting policies of the company. These responsibilities includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statement is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of financial statements. We believe that our audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Addis Pay Financial Technology Share Company as at 30 June 2024, and the results of its operations and its cash flows for the year then ended in accordance with the accounting policies of the company.

We have received report of the directors of the company. Pursuant to Article 349(2) of the Commercial Code of Ethiopia; we recommend approval of the above mentioned financial statements.



Tibebe Mengistu Certified Audit Firm
Chartered Certified Accountants (UK)
Authorized Auditors (Eth.)



07 August 2024
Addis Ababa
Ethiopia

AS AT 30 JUNE 2024

			30.06.2023
	Notes	Birr	Birr
ASSETS EMPLOYED			
NON CURRENT ASSETS			
Property, plant and equipment net	2.1,3	1,739,792	1,826,713
Preoperational cost	4	17,308,481	6,013,596
CURRENT ASSETS			
Trade and Other Receivable	5	849,656	446,282
Cash At bank balance	6	1,302,978	9,725,617
		2,152,634	10,171,898
TOTAL ASSETS		21,200,908	18,012,207
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Paid up Capital	8	14,770,000	13,475,000
Shareholders Payable		2,625,000	2,610,000
		17,395,000	16,085,000
CURRENT LIABILITY			
Trade and Other Payable	7	3,805,908	1,927,207
TOTAL EQUITY AND LIABILITIES		21,200,908	18,012,207



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
STATEMENT OF PROFIT AND LOSS
FOR THE PERIOD ENDED 30 JUNE 2024

	<u>Birr</u>	<u>2023</u> <u>Birr</u>
INCOME	-	-
OPERATING COST	-	-
GROSS PROFIT	-	-
EXPENSES		
General and Administration	-	-
PROFIT FOR THE PERIOD	-	-
PROVISION FOR TAXATION	-	-
TRANSFER TO LEGAL RESERVE	-	-
	-	-



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2023

	<u>Registered</u> <u>Capital</u> <u>Birr</u>	<u>Total</u> <u>Birr</u>
Balance at 1 Jul 2023	13,475,000	13,475,000
Capital Increment	<u>1,295,000</u>	<u>1,295,000</u>
Balance at 30 June 2024	<u>14,770,000.00</u>	<u>14,770,000.00</u>



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
CASH FLOW STATEMENT
FOR THE PERIOD ENDED 30 JUNE 2024

	<u>Birr</u>	<u>2023</u> <u>Birr</u>
Cash flow from operating activities		
Net profit before taxation	-	-
Depreciation	446,256	141,840
Decrease in trade and other receivables	(403,374)	(439,782)
Increase in trade and other payable	1,878,700	1,927,207
	1,921,582	1,629,266
INVESTING ACTIVITIES		
Acquisition of Property Plant and Preoperational cost	(359,336) (11,294,885)	(1,944,420) (5,209,009)
FINANCING ACTIVITIES		
Shareholders Share Capital	15,000 1,295,000	1,225,000 -
NET CASH (OUTFLOW) BEFORE FINANCING	(8,422,638)	(4,299,163)
CHANGE IN CASH AND BANK		
Cash and bank balance	(8,422,639)	(4,299,163)



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30 JUNE 2024

Currency: Ethiopian Birr

1. BACKGROUND

Addis Pay Financial Technology Share Company (Under Formation) is under establishment to engage in a new Payment System Operator. This report is prepared in line with commercial code of Ethiopia 2013 Article 281. As detailed under Note No 6 both subscribed and paid up capital in line with the commercial Code Requirement.

2. ACCOUNTING POLICIES

The Accounting Policies adopted by the Company are as follows:

2.1 Fixed Assets

Property, plant and equipment are stated at cost less accumulated depreciation. Depreciation is charged on Diminishing method in line with Income Tax Proclamation No.979/2016 and corresponding Income Tax regulation Article 38 at the following rate.

Office furniture and equipment	20
Computer and software	25

2.2 Income and Expense Recognition

Accrual accounting concept is applied in recognition of Income and Expenses.

2.3 Stock

Stock is stated in the following manner

- i) Finished products, at average production cost.
- ii) Work in process, at raw material cost plus conversion cost
- iii) Raw materials at average cost.



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30 JUNE 2024

3. FIXED ASSETS

	<u>Balance at</u> <u>01.07.2023</u> <u>Birr</u>	<u>Addition</u> <u>Birr</u>	<u>Balance at</u> <u>30.06.2024</u> <u>Birr</u>
COST			
Furniture and equipment	911,836		911,836
Computers and Information System	1,036,506	359,336	1,395,842
Others	24,328	-	24,328
	<u>1,972,670</u>	<u>359,336</u>	<u>2,332,006</u>
DEPRECIATION			
Furniture and equipment	77,490	166,869	244,359
Computers and Information System	44,140	279,387	323,526
Others	24,328	-	24,328
	<u>145,958</u>	<u>446,256</u>	<u>592,214</u>
NET BOOK VALUE	<u>1,826,713</u>		<u>1,739,792</u>

4. PREOPERATIONAL COST

	<u>Balance at</u> <u>01.07.2023</u> <u>Birr</u>	<u>Addition</u> <u>Birr</u>	<u>Balance at</u> <u>30.06.2024</u> <u>Birr</u>
Salary and Related Benefits	3,922,015	7,765,268	11,687,283
Bank charge	1,470	860	2,330
Rent	1,242,183	809,739	2,051,922
Depreciation	145,958	446,256	592,213
Consultancy	495,041	260,552	755,593
Miscellaneous	25,876	21,760	47,635
License and Registration	33,313	30,000	63,313
Utility	7,000	31,133	38,133
Professional Fee	34,783	40,000	74,783
Telephone and Internet	-	213,388	213,388
Traning	-	249,700	249,700
Law consltant	-	80,000	80,000
Supplies	44,385	24,300	68,685
Printining and Stationery	41,028	22,574	63,602
Penalty	2,818	1,275,165	1,277,983
Entertainment	1,856	24,191	26,047
Disallowable Expenses	15,872	-	15,872
	<u>6,013,596</u>	<u>11,294,885</u>	<u>17,308,481</u>



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30 JUNE 2024

5. Trade and Other Receivable

	<u>Birr</u>	<u>30.06.2023</u> <u>Birr</u>
Advance	69,391	69,391
Sundry Debtors	216,907	1,800
Vat Receivable	563,357	375,090
	<u>849,656</u>	<u>446,282</u>

6. CASH AND BANK

Buna Bank SC-AC No. 1029601000863	277,317	96,490
Cash at Cbe	980,000	-
Cash at Awash	45,000	-
Amhara Bank A/C No	661	9,629,127
	<u>1,302,978</u>	<u>9,725,617</u>

7. TRADE AND OTHER PAYABLE

Accruals	1,605,290	466,982
Payroll Tax payable	1,915,734	887,123
Pension	269,214	550,231
Withholding Tax Payable	15,669	22,871
	<u>3,805,908</u>	<u>1,927,207</u>

8. CAPITAL

The Capital Structure of the company is as detailed Below

Name of Shareholders	<u>Subscribed Capital</u>	<u>Paid up Capital</u>
Yeshewas Shibabaw	20,000,000	6,000,000
Desta Assmamawe Amere	2,000,000	680,000
Ewnetu Abera	2,000,000	680,000
Hiwot Yemaneh	20,000,000	5,600,000
Tigist Gezahegn	2,000,000	500,000
Mikyas Tamrat	500,000	170,000
Abraham Teshome	1,000,000	450,000
Redieat Tsigebirhan	1,000,000	250,000
Biruk Gebreyes	500,000	100,000
Danieal Shibabaw	1,000,000	340,000
	<u>50,000,000</u>	<u>14,770,000</u>

